

Falcon Distribution

Source-backed analysis. Assumptions remain subject to diligence.

Executive summary

As of 2026-08-31, Falcon Distribution is an 8-suite industrial property in Indianapolis, IN. The certified rent roll shows 7 occupied and 1 vacant suite, totaling 176,060 SF with 87.5% occupancy by units and 87.5% by area. Underwritten stabilized income is based on all-suite scheduled rent from the certified roll, less 5% economic loss, plus \$350 per suite of other income, per instructions.

Underwritten NOI before reserves is \$902,612; NCF after reserves is \$900,212. Capitalized at 6.25%, the indicated value is \$14.44 million. Debt sizing at the 7.00% floor and 30-year amortization yields a maximum loan of about \$9.02 million; after 1% origination, \$45k closing costs, and a \$7.80 million payoff, the transaction produces approximately \$1.09 million net cash out.

Metric	Value
Units (occupied/total)	7 / 8
Area SF (occupied/total)	154,060 / 176,060
Annual in-place rent (occupied)	\$1,227,600
Underwritten EGI	\$1,335,460
UW NOI (before reserves)	\$902,612
UW NCF (after reserves)	\$900,212
Cap rate	6.2500%
Indicated value	\$14,441,795
Maximum loan	\$9,020,580
Net cash out	\$1,085,375

Property and suite mix

Manager mapping: Type A = Small suite, Type B = Standard suite, Type C = Large suite (manager-cover).

Suite counts: A: 3, B: 3, C: 2; occupied: A: 3, B: 2, C: 2. Areas per roll sum to 176,060 SF. Unit 001 monthly rent is \$14,450 per executed lease and certified roll; no free rent or amendments affect it as of the roll date.

Suite	Type	Area SF	Status	Monthly rent	Expiration
001	Small	21,880	active	\$14,450	2029-08-31
002	Standard	22,000	active	\$14,600	2029-08-31
003	Large	22,210	active	\$14,875	2029-08-31
004	Small	21,880	active	\$14,450	2029-08-31
005	Standard	22,000	active	\$14,600	2029-08-31
006	Large	22,210	active	\$14,875	2029-08-31
007	Small	21,880	active	\$14,450	2029-08-31
008	Standard	22,000	vacant	\$14,600	2029-08-31

Lease and occupancy analysis

Certified detail controls occupancy: 7 active, 1 vacant. Manager headline that counts pending as leased is not used in calculations. No near-term rollover is present; all expirations are 2029-08-31.

Archive roll (2026-06-30) shows slightly lower contractual rents; current certified roll controls. Suite 001 lease and manager correspondence confirm no concessions or unsigned changes affecting rent.

As-of date	Occupied	Vacant	Unit occupancy	Area occupancy
2026-08-31	7	1	87.5%	87.5%
2026-06-30 (archive)	7	1	87.5%	87.5%

Historical versus underwritten financials

T12 actual collections are \$1,262,520 with reported NOI \$869,736. Underwritten stabilized income is based on scheduled rent roll annual GPR of \$1,402,800, less 5% economic loss plus \$2,800 other income, giving EGI \$1,335,460.

UW operating expenses include taxes \$147,294, insurance \$49,098, other recurring \$196,392, and management at 3% of UW EGI. Reserves at \$300/suite total \$2,400.

Resulting UW NOI before reserves is \$902,612 versus T12 NOI \$869,736 (definitions differ per diligence note). NCF after reserves is \$900,212.

Item	T12 actual	Underwritten
Collections / EGI	\$1,262,520	\$1,335,460
Taxes	(\$147,294)	(\$147,294)
Insurance	(\$49,098)	(\$49,098)
Other opex + mgmt	(\$196,392) + mgmt	(\$236,456 incl. mgmt)
NOI (pre-reserves)	\$869,736	\$902,612
Reserves	n/a	(\$2,400)
NCF (after reserves)	n/a	\$900,212

Debt sizing and sources/uses

Constraints: 65% LTV, 1.25x DSCR, 9% debt yield. Sizing rate is the greater of note rate 6.10% and floor 7.00% → 7.00%. 30-year amortization, monthly payments.

At cap value \$14.44MM, 65% LTV is \$9.39MM. DSCR at 7.00% sizing rate limits to \$9.02MM; debt yield limits to \$10.00MM. Maximum loan is therefore \$9.02MM.

Sources/uses: Loan \$9.0206MM; less 1% origination, \$45k closing, and \$7.80MM payoff → net cash out approx. \$1.085MM.

Constraint	Result
LTV (65% of \$14.44MM)	\$9.39MM
DSCR (NCF/1.25/constant)	\$9.02MM
Debt yield (NCF/9%)	\$10.00MM
Maximum loan	\$9.02MM
Net cash out	\$1.085MM

Risks and diligence status

Pending counted in occupancy: present in manager headline, but corrected in underwriting (risk flagged).

Near-term rollover: absent; next expirations 2029.

Missing insurance: absent; policy limit and dates provided.

Capital in opex: absent; roof replacement explicitly not included in repairs.

Unsigned rent change: absent; packet says unsigned proposals do not control and correspondence confirms no changes for Suite 001.

Temporary free rent: absent per lease excerpt.

Sizing floor binding: present; 7.00% floor exceeds 6.10% note rate.

Refinance shortfall: unresolved without a target payoff beyond the \$7.8MM noted; based on this sizing, there is positive cash out.

Risk	Assessment
Pending in occupancy	Present (manager headline only)
Near-term rollover	Absent
Missing insurance	Absent
Capital in opex	Absent
Unsigned rent change	Absent
Temporary free rent	Absent
Sizing floor binding	Present
Refinance shortfall	Absent given \$7.8MM payoff; positive net cash out

Source notes

Manager cover note: unit type mapping A/B/C; headline occupancy counts pending; certified detail controls.

Certified rent roll 2026-08-31: unit counts, areas, statuses, monthly rents, expirations.

Archive rent roll 2026-06-30: prior rents for comparison only.

Lease 001 and correspondence: executed rent \$14,450; no amendments or concessions; unsigned proposals do not control.

Operating statement T12 through 2026-08-31: collections, expense lines, and reported NOI; roof replacement treated as capital, not opex.

Insurance record: GL aggregate limit \$2,000,000 effective 2026-07-01 to 2027-06-30.

Underwriting instructions: loss, other income, mgmt fee, reserves, cap rate 6.25%, loan constraints and rates, sizing on floor 7.00%.

Document	Key points
manager-cover.pdf	Type mapping; occupancy caveat
rent-roll-certified.xlsx	As-of 2026-08-31 detail
rent-roll-archive.xlsx	Prior rents snapshot
lease-001.pdf	Executed terms; no free rent
lease-correspondence.pdf	PM confirms no changes
operating-statement.pdf	T12 line items and NOI
insurance.pdf	Policy limit and dates
underwriting-instructions.pdf	UW and sizing rules